

Henderson Manufacturing

Income Statement

(\$ Millions)

	<u>F2014A</u>	<u>F2015A</u>	<u>F2016A</u>
Gross Revenue	244.8	269.3	239.2
Freight & Warehousing	31.3	32.7	34.4
Net Revenue	213.5	236.6	204.8
Cost of Sales	159.9	164.6	167.9
SG&A	3.4	3.6	3.8
Total Costs	163.3	168.2	171.7
Cost Adjustments - Gain/(Loss)	0.0	0.0	0.0
EBITDA	50.2	68.4	33.1
Depreciation	15.4	15.5	15.8
EBIT	34.8	52.9	17.3
Interest Expense	15.0	15.0	14.0
EBT	19.8	37.9	3.3
Current Taxes	3.0	8.0	0.0
Deferred Income Taxes	2.7	6.2	1.1
Total Income Taxes	5.7	14.2	1.1
Net Income to Common	\$14.1	\$23.7	\$2.2

Henderson Manufacturing

Cash Flow Statement

(\$ Millions)

	<u>F2014A</u>	<u>F2015A</u>	<u>F2016A</u>
Operating Activities			
Net Income	14.1	23.7	2.2
Depreciation	15.4	15.5	15.8
Deferred Income Taxes	2.7	6.2	1.1
Changes in Working Capital	0.0	0.0	0.0
Operating Cash Flow	32.2	45.4	19.1
Investing Activities			
CAPEX	(14.1)	(15.0)	(15.5)
Other	(5.0)	4.0	3.0
Investing Cash Flow	(\$19.1)	(\$11.0)	(\$12.5)
Financing Activities			
Revolver Issuance / (Repayment)	0.0	0.0	0.0
Total Term Debt Issuance / (Repayment)	(25.0)	(25.0)	(25.0)
Common Shares Issuance/ (Buy-Back)	0.0	0.0	0.0
Common Dividends	(2.8)	(4.7)	(2.4)
Financing Cash Flow	(27.8)	(29.7)	(27.4)
Change in Cash Position	(14.7)	4.7	(20.8)
Beginning Cash	31.1	16.4	21.1
Ending Cash	16.4	21.1	0.3

Henderson Manufacturing

Balance Sheet

(\$ Millions)

	<u>F2014A</u>	<u>F2015A</u>	<u>F2016A</u>
ASSETS			
Cash and Equivalents	16.4	21.1	0.3
Accounts Receivable	27.0	27.8	28.3
Inventory	36.5	36.1	35.1
Prepaid Expenses	14.6	14.4	14.9
Other	1.4	1.8	1.2
Total Current Assets	95.9	101.2	79.8
Net PP&E	398.5	398.0	397.7
Other	19.0	15.0	12.0
Total Long Term Assets	417.5	413.0	409.7
Total Assets	<u><u>\$513.4</u></u>	<u><u>\$514.2</u></u>	<u><u>\$489.5</u></u>
LIABILITIES AND EQUITY			
Bank Debt - Revolver	0.0	0.0	0.0
Accounts Payable	18.3	18.7	18.2
Other	4.7	4.9	4.8
Total Current Liabilities	23.0	23.6	23.0
Deferred Income Taxes	0.7	6.9	8.0
Senior Secured Term Debt	250.0	225.0	200.0
Total Long Term Liabilities	250.7	231.9	208.0
Total Liabilities	273.7	255.5	231.0
Common Shares	120.0	120.0	120.0
Retained Earnings	119.7	138.7	138.5
Shareholder's Equity	239.7	258.7	258.5
Total Liabilities and Equity	<u><u>\$513.4</u></u>	<u><u>\$514.2</u></u>	<u><u>\$489.5</u></u>

Henderson Manufacturing

Financial Model for 2017-2021

Modeler Ibrahim Handu

Version V1

Henderson Manufacturing

Summary

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Analysis on Base Case

Revenue

Gross Revenue	\$MN			244.8	269.3	239.2	289.3	272.7	322.7	325.5	315.0
Revenue Growth	%				10.0%	-11.2%	21.0%	-5.8%	18.3%	0.8%	-3.2%

EBITDA

EBITDA	\$MN			50.2	68.4	33.1	73.9	47.1	86.4	77.9	56.9
Growth Rate	%				36.3%	-51.6%	123.2%	-36.2%	83.5%	-9.9%	-27.0%

Net Income

Net Income to Common	\$MN			14.1	23.7	2.2	29.5	12.5	38.3	33.4	20.5
Growth Rate	%				68.1%	-90.7%	1242.2%	-57.5%	205.2%	-12.8%	-38.6%
Net Profit Margin	%			6.6%	10.0%	1.1%	11.7%	5.4%	13.6%	11.9%	7.6%

Dupont Analysis

ROE	%			5.9%	9.2%	0.9%	10.5%	4.3%	11.9%	9.5%	5.6%
Net Profit Margin	%			6.6%	10.0%	1.1%	11.7%	5.4%	13.6%	11.9%	7.6%
Asset Turnover	Multiples			0.42x	0.46x	0.42x	0.51x	0.47x	0.56x	0.56x	0.54x
Equity Multiplier	Multiples			2.14x	1.99x	1.89x	1.76x	1.70x	1.56x	1.44x	1.36x

Analysis on Best Case

Revenue

Gross Revenue	\$MN			244.8	269.3	239.2	319.8	302.6	359.4	363.9	346.5
Revenue Growth	%				10.0%	-11.2%	33.7%	-5.4%	18.8%	1.2%	-4.8%

EBITDA

EBITDA	\$MN			50.2	68.4	33.1	104.0	78.3	126.2	121.3	98.8
Growth Rate	%				36.3%	-51.6%	214.2%	-24.7%	61.3%	-3.9%	-18.5%

Net Income

Net Income to Common	\$MN			14.1	23.7	2.2	49.1	33.0	64.6	61.9	47.5
Growth Rate	%				68.1%	-90.7%	2132.5%	-32.9%	96.1%	-4.2%	-23.3%
Net Profit Margin	%			6.6%	10.0%	1.1%	17.4%	12.5%	20.3%	19.3%	15.7%

Dupont Analysis

ROE	%			5.9%	9.2%	0.9%	16.5%	10.2%	17.2%	14.6%	10.3%
Net Profit Margin	%			6.6%	10.0%	1.1%	17.4%	12.5%	20.3%	19.3%	15.7%
Asset Turnover	Multiples			0.42x	0.46x	0.42x	0.56x	0.51x	0.59x	0.56x	0.48x
Equity Multiplier	Multiples			2.14x	1.99x	1.89x	1.70x	1.58x	1.44x	1.35x	1.37x

Henderson Manufacturing

Summary

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
Analysis on Worst Case											
Revenue											
Gross Revenue		\$MN		244.8	269.3	239.2	259.2	243.3	286.9	288.2	279.9
Revenue Growth		%			10.0%	-11.2%	8.3%	-6.1%	17.9%	0.5%	-2.9%
EBITDA											
EBITDA		\$MN		50.2	68.4	33.1	44.0	16.4	47.5	35.7	13.4
Growth Rate		%			36.3%	-51.6%	33.0%	-62.6%	189.1%	-25.0%	-62.4%
Net Income											
Net Income to Common		\$MN		14.1	23.7	2.2	10.1	-7.8	11.9	4.0	-10.6
Growth Rate		%			68.1%	-90.7%	360.1%	-177.5%	-251.3%	-66.2%	-363.5%
Net Profit Margin		%		6.6%	10.0%	1.1%	4.6%	-3.9%	4.9%	1.7%	-4.6%
Dupont Analysis											
ROE		%		5.9%	9.2%	0.9%	3.8%	-3.0%	4.4%	1.5%	-4.0%
Net Profit Margin		%		6.6%	10.0%	1.1%	4.6%	-3.9%	4.9%	1.7%	-4.6%
Asset Turnover		Multiples		0.42x	0.46x	0.42x	0.45x	0.41x	0.49x	0.49x	0.47x
Equity Multiplier		Multiples		2.14x	1.99x	1.89x	1.85x	1.89x	1.85x	1.83x	1.87x

Summary Generator

Best case

Revenue											
Gross Revenue		\$MN		244.8	269.3	239.2	319.8	302.6	359.4	363.9	346.5
Revenue Growth		%			10.0%	-11.2%	33.7%	-5.4%	18.8%	1.2%	-4.8%
EBITDA											
EBITDA		\$MN		50.2	68.4	33.1	104.0	78.3	126.2	121.3	98.8
Growth Rate		%			36.3%	-51.6%	214.2%	-24.7%	61.3%	-3.9%	-18.5%
Net Income											
Net Income to Common		\$MN		14.1	23.7	2.2	49.1	33.0	64.6	61.9	47.5
Growth Rate		%			68.1%	-90.7%	2132.5%	-32.9%	96.1%	-4.2%	-23.3%
Net Profit Margin		%		6.6%	10.0%	1.1%	17.4%	12.5%	20.3%	19.3%	15.7%
Dupont Analysis											
ROE		%		5.9%	9.2%	0.9%	16.5%	10.2%	17.2%	14.6%	10.3%
Net Profit Margin		%		6.6%	10.0%	1.1%	17.4%	12.5%	20.3%	19.3%	15.7%
Asset Turnover		Multiples		0.42x	0.46x	0.42x	0.56x	0.51x	0.59x	0.56x	0.48x
Equity Multiplier		Multiples		2.14x	1.99x	1.89x	1.70x	1.58x	1.44x	1.35x	1.37x

Henderson Manufacturing

Scenerios

BS Check: OK

Scenerio Best case

Constant Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Scenerio Used

Scenerio Best case	2
Base case	
Best case	
Worst case	

Pricing Scenerio

Used in the model	\$/unit	880.0	797.5	907.5	880.0	825.0
Base case	\$/unit	800.0	725.0	825.0	800.0	750.0
Best case	\$/unit	880.0	797.5	907.5	880.0	825.0
Worst case	\$/unit	720.0	652.5	742.5	720.0	675.0

Sales Volume Scenerio

Used in the model	%	5.5%	4.4%	4.4%	4.4%	4.4%
Base case	%	5.0%	4.0%	4.0%	4.0%	4.0%
Best case	%	5.5%	4.4%	4.4%	4.4%	4.4%
Worst case	%	4.5%	3.6%	3.6%	3.6%	3.6%

Cost Inflation Scenerio

Used in the model	%	1.0%	1.0%	1.0%	1.0%	1.0%
Base case	%	2.0%	2.0%	2.0%	2.0%	2.0%
Best case	%	1.0%	1.0%	1.0%	1.0%	1.0%
Worst case	%	3.0%	3.0%	3.0%	3.0%	3.0%

Henderson Manufacturing

Assumption

BS Check: OK

Scenerio Best case

Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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General Assumption

Days in a year			365	365	366	365	365	365	366	365
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Style Guide

Number	2,000.0	Number
Input	2,000.0	Number
Percent	7.0%	Percentage
Multiples	2.00x	Multiples
Linked		Linked
Units		Text

Revenue Assumption

Factory Capacity	420,000.0	unit								
Gross price		\$/unit	694.4	880.0	797.5	907.5	880.0	825.0		
Sales Volume inflation		%		5.5%	4.4%	4.4%	4.4%	4.4%		
Freight and warehouse cost		\$/unit	100.0							

Henderson Manufacturing

Assumption

BS Check: OK

Scenerio Best case

Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Operating Cost Assumption

Cost Inflation Rate	%					1.0%	1.0%	1.0%	1.0%	1.0%
Variable cost										
Raw Materials	\$unit					226.0				
Utility	\$unit					66.2				
Fixed Cost										
Rent	\$MM					23.5				
Operating Labour	\$MM					43.5				
Others	\$MM					2.0				
SG&A	\$MM					3.9				

CAPEX and Depreciation Assumption

CAPEX										
Addition	\$MM					16.0	17.0	17.3	17.5	18.0
Usefullife of asset										
Existing Assets		25.0	Years							
New Assets		30.0	Years							

Henderson Manufacturing

Assumption

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Working Capital Assumption

Days in a year				365	365	366	365	365	365	366	365
Net Revenue		\$MM		213.5	236.6	204.8					
Cost of Sales		\$MM		159.9	164.6	167.9					

Balances

Accounts Receivable	\$MM	27	27.8	28.3
Inventory	\$MM	36.5	36.1	35.1
Prepaid Expenses	\$MM	14.6	14.4	14.9
Other	\$MM	1.4	1.8	1.2
Accounts Payable	\$MM	18.3	18.7	18.2
Other	\$MM	4.7	4.9	4.8

Days

Accounts Receivable	days	46.2	42.9	50.6	46.5	46.5	46.5	46.5	46.5
Inventory	days	83.3	80.1	76.5	80.0	80.0	80.0	80.0	80.0
Prepaid Expenses	days	33.3	31.9	32.5	32.6	32.6	32.6	32.6	32.6
Other	days	3.2	4.0	2.6	3.3	3.3	3.3	3.3	3.3
Accounts Payable	days	41.8	41.5	39.7	41.0	41.0	41.0	41.0	41.0
Other	days	10.7	10.9	10.5	10.7	10.7	10.7	10.7	10.7

Tax Assumption

Company tax rate	35.0%	%
Reduction in EBT due to timing difference		\$MM
	5.0	5.0
	5.0	5.0
	5.0	5.0
	5.0	5.0

Henderson Manufacturing

Assumption

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
Debt and Interest rate Assumption											
Senior Secured debt interest	6.0%	%									
Revolver interest	6.0%	%									
Excess cash rate	1.0%	%									
Repayment											
Debt repayment		\$MM					25.0	25.0	25.0	25.0	25.0
Equity Assumption											
Common Stock		MN					120.0	120.0	120.0	120.0	120.0
Dividend Payout	20.0%	%									
New issue or Buyback		\$MM					0.0	0.0	0.0	0.0	0.0

Henderson Manufacturing

Schedules

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Revenue Schedule

Inflation

Sales Volume inflation	%						5.5%	4.4%	4.4%	4.4%	4.4%
Cost Inflation Rate	%						1.0%	1.0%	1.0%	1.0%	1.0%

Sales Price

Gross price	\$/unit					694.4	880.0	797.5	907.5	880.0	825.0
Freight and warehouse cost	\$/unit					100.0	101.0	102.0	103.0	104.1	105.1

Factory Capacity 420,000.0 unit

Sales Volume

Sales Volume	unit					344,450.2	363,395.0	379,384.3	396,077.3	413,504.7	431,698.9
Capacity	unit					420,000.0	420,000.0	420,000.0	420,000.0	420,000.0	420,000.0
Production Volume	unit					344,450.2	363,395.0	379,384.3	396,077.3	413,504.7	420,000.0

Revenue

Gross Revenue						239.2	319.8	302.6	359.4	363.9	346.5
Freight and warehouse cost							36.7	38.7	40.8	43.0	44.1
Net Revenue							283.1	263.9	318.6	320.9	302.4

Henderson Manufacturing Schedules

BS Check: OK

Scenario Best case

Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Cost Schedule

Cost Inflation Rate	%					1.0%	1.0%	1.0%	1.0%	1.0%
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Variable Cost

Raw Materials	\$unit					226.0	228.3	230.5	232.8	235.2
Utility	\$unit					66.2	66.9	67.5	68.2	68.9

Fixed Cost

Rent	\$MM					23.5	23.7	24.0	24.2	24.5
Operating Labour	\$MM					43.5	43.9	44.4	44.8	45.3
Others	\$MM					2.0	2.0	2.0	2.1	2.1

Volume

Production Volume	unit					344,450.2	363,395.0	379,384.3	396,077.3	413,504.7	420,000.0
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Operating Cost

Raw Materials	\$MM					82.1	86.6	91.3	96.3	98.8
Utility	\$MM					24.1	25.4	26.7	28.2	28.9
Rent	\$MM					23.5	23.7	24.0	24.2	24.5
Operating Labour	\$MM					43.5	43.9	44.4	44.8	45.3
Others	\$MM					2.0	2.0	2.0	2.1	2.1
Operating Cost	\$MM					175.2	181.7	188.4	195.6	199.5

SG&A Cost

SG&A	\$MM					3.9	3.9	4.0	4.0	4.1
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Henderson Manufacturing Schedules

BS Check: OK

Scenario Best case

Constant Unit Total

Actual
2014A

Actual
2015A

Actual
2016A

Forecast
2017F

Forecast
2018F

Forecast
2019F

Forecast
2020F

Forecast
2021F

CAPEX & Depreciation Schedule

Depreciation of Existing Asset

Net PPE 397.7 \$MM
Existing Assets 25.0 Years
Depreciation of Existing Asset

15.9 15.9 15.9 15.9 15.9

Depreciation of New Asset

New Assets 30.0 Years
Addition \$MM

16.0 17.0 17.3 17.5 18.0

Years	Addition	2017	2018	2019	2020	2021
2017	16.0	0.5	0.5	0.5	0.5	0.5
2018	17.0		0.6	0.6	0.6	0.6
2019	17.3			0.6	0.6	0.6
2020	17.5				0.6	0.6
2021	18.0					0.6

Depreciation of New Asset \$MM

0.5 1.1 1.7 2.3 2.9

Total Depreciation \$MM

16.4 17.0 17.6 18.2 18.8

Net PP&E Balance

Beginning Balance \$MM
Plus Addition \$MM
Less Total Depreciation \$MM
Ending Balance \$MM

397.7	397.3	397.3	397.0	396.3
16.0	17.0	17.3	17.5	18.0
16.4	17.0	17.6	18.2	18.8
397.7	397.3	397.3	397.0	396.3

Other Asset Balance

Beginning Balance \$MM
plus Other Asset \$MM
Ending Balance \$MM

12.0	12.0	12.0	12.0	12.0
0.0	0.0	0.0	0.0	0.0
12.0	12.0	12.0	12.0	12.0

Henderson Manufacturing

Schedules

BS Check: OK

Scenerio Best case

Constant Unit Total

Actual
2014A

Actual
2015A

Actual
2016A

Forecast
2017F

Forecast
2018F

Forecast
2019F

Forecast
2020F

Forecast
2021F

Tax Schedule

Company tax rate

35.0%

EBT \$MM

Reduction in EBT due to timing difference \$MM

Taxable Income \$MM

75.6 50.7 99.4 95.3 73.1

5.0 5.0 5.0 5.0 5.0

70.6 45.7 94.4 90.3 68.1

Tax expense \$MM

Tax paid \$MM

Deffered tax \$MM

26.4 17.7 34.8 33.3 25.6

24.7 16.0 33.0 31.6 23.8

1.8 1.8 1.8 1.8 1.8

Deffered Income Tax Balance

Beginning Balance \$MM

Plus Tax expense \$MM

Less Tax paid \$MM

Ending Balance \$MM

8.0 9.8 11.5 13.3 15.0

26.4 17.7 34.8 33.3 25.6

24.7 16.0 33.0 31.6 23.8

8.0 9.8 11.5 13.3 15.0 16.8

Henderson Manufacturing Schedules

BS Check: OK

Scenerio Best case

Constant Unit Total

Actual Actual Actual Forecast Forecast Forecast Forecast Forecast
2014A 2015A 2016A 2017F 2018F 2019F 2020F 2021F

Working Capital Schedule

Days in a year			365.0	365.0	366.0	365.0	365.0	365.0	366.0	365.0
Net Revenue	\$MN		213.5	236.6	204.8	283.1	263.9	318.6	320.9	302.4
Cost of Sales	\$MN		159.9	164.6	167.9	175.2	181.7	188.4	195.6	199.5
Days										
Accounts Receivable	days		46.2	42.9	50.6	46.5	46.5	46.5	46.5	46.5
Inventory	days		83.3	80.1	76.5	80.0	80.0	80.0	80.0	80.0
Prepaid Expenses	days		33.3	31.9	32.5	32.6	32.6	32.6	32.6	32.6
Other	days		3.2	4.0	2.6	3.3	3.3	3.3	3.3	3.3
Accounts Payable	days		41.8	41.5	39.7	41.0	41.0	41.0	41.0	41.0
Other	days		10.7	10.9	10.5	10.7	10.7	10.7	10.7	10.7
Balance										
Accounts Receivable	\$MN		27.0	27.8	28.3	36.1	33.6	40.6	40.8	38.6
Inventory	\$MN		36.5	36.1	35.1	38.4	39.8	41.3	42.7	43.7
Prepaid Expenses	\$MN		14.6	14.4	14.9	15.6	16.2	16.8	17.4	17.8
Other	\$MN		1.4	1.8	1.2	1.6	1.6	1.7	1.7	1.8
Current Asset			79.5	80.1	79.5	91.7	91.3	100.4	102.7	101.9
Accounts Payable	\$MN		18.3	18.7	18.2	19.7	20.4	21.2	21.9	22.4
Other	\$MN		4.7	4.9	4.8	5.1	5.3	5.5	5.7	5.8
Current Liability			23.0	23.6	23.0	24.8	25.7	26.7	27.6	28.2
OWC - Net			56.5	56.5	56.5	66.9	65.6	73.7	75.1	73.6
Changes in OWC				0.0	0.0	-10.4	1.3	-8.2	-1.3	1.5

Henderson Manufacturing
Schedules

BS Check: OK

Scenerio Best case

Constant

Unit

Total

Actual
2014A

Actual
2015A

Actual
2016A

Forecast
2017F

Forecast
2018F

Forecast
2019F

Forecast
2020F

Forecast
2021F

Equity Schedule

Share Capital Balance

Beginning Balance	\$MM				120.0	120.0	120.0	120.0	120.0
Plus New issue or Buyback	\$MM				0.0	0.0	0.0	0.0	0.0
Ending Balance	\$MM			120.0	120.0	120.0	120.0	120.0	120.0
Dividend Payout		20.0%	%						

Retained Earnings Balance

Beginning Balance	\$MM				138.5	177.8	204.2	255.9	305.4
Plus Net Income to Common					49.1	33.0	64.6	61.9	47.5
Less Dividend	\$MM				9.8	6.6	12.9	12.4	9.5
Ending Balance	\$MM			138.5	177.8	204.2	255.9	305.4	343.4

Henderson Manufacturing

Schedules

BS Check: OK

Scenerio Best case

Constant Unit Total

Actual
2014A

Actual
2015A

Actual
2016A

Forecast
2017F

Forecast
2018F

Forecast
2019F

Forecast
2020F

Forecast
2021F

Debt Schedule

Senior Secured debt interest	6.0%	%
Revolver interest	6.0%	%
Excess cash rate	1.0%	%

Debt Balance

Beginning Balance	\$MM			200.0	175.0	150.0	125.0	100.0
less Debt repayment	\$MM			25.0	25.0	25.0	25.0	25.0
Ending Balance	\$MM		200.0	175.0	150.0	125.0	100.0	75.0

Senior Debt Interest				12.0	10.5	9.0	7.5	6.0
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Excess Cash Balance

Beginning Balance	\$MM			0.3	-5.8	-11.6	-30.8	-61.6
less Change in Cash Position				6.1	5.8	19.2	30.8	61.6
Ending Balance	\$MM		0.3	-5.8	-11.6	-30.8	-61.6	-123.2

Excess Cash Interest				0.0	-0.1	-0.1	-0.3	-0.6
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Revolver

Operating Cash Flow	\$MN			56.9	53.0	75.8	80.5	69.5
Investing Cash Flow	\$MN			-16.0	-17.0	-17.3	-17.5	-18.0
Total Term Debt Issuance / (Repayment)	\$MN			-25.0	-25.0	-25.0	-25.0	-25.0
Common Shares Issuance/ (Buy-Back)	\$MN			0.0	0.0	0.0	0.0	0.0
Common Dividends	\$MN			-9.8	-6.6	-12.9	-12.4	-9.5
Cashflow Available After Operating and Inve	\$MN			6.1	4.4	20.6	25.6	17.0

Revolver Balance

Beginning Balance	\$MM			0.0	0.0	1.4	0.0	5.2
plus Revolver drawdown / (Repayment)	\$MM			0.0	1.4	-1.4	5.2	44.6
Ending Balance	\$MM		0.0	0.0	1.4	0.0	5.2	49.7

Revolver Interest				0.0	0.0	0.1	0.0	0.3
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Henderson Manufacturing
Schedules

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
Net Interest Expense											
Senior Debt Interest		\$MM					12.0	10.5	9.0	7.5	6.0
Revolver Interest		\$MM					0.0	0.0	0.1	0.0	0.3
Excess Cash Interest		\$MM					0.0	-0.1	-0.1	-0.3	-0.6
Net Interest Expense		\$MM					12.0	10.6	9.2	7.8	6.9

Henderson Manufacturing Model

BS Check: OK

Scenerio Best case

Constant Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Financial Statements

Income Statement

Gross Revenue	\$MN	244.8	269.3	239.2	319.8	302.6	359.4	363.9	346.5
Freight & Warehousing	\$MN	31.3	32.7	34.4	36.7	38.7	40.8	43.0	44.1
Net Revenue	\$MN	213.5	236.6	204.8	283.1	263.9	318.6	320.9	302.4
Cost of Sales	\$MN	159.9	164.6	167.9	175.2	181.7	188.4	195.6	199.5
SG&A	\$MN	3.4	3.6	3.8	3.9	3.9	4.0	4.0	4.1
Total Costs	\$MN	163.3	168.2	171.7	179.1	185.6	192.4	199.6	203.6
Cost Adjustments - Gain/(Loss)	\$MN	0	0	0	0	0	0	0	0
EBITDA	\$MN	50.2	68.4	33.1	104.0	78.3	126.2	121.3	98.8
Depreciation	\$MN	15.4	15.5	15.8	16.4	17.0	17.6	18.2	18.8
EBIT	\$MN	34.8	52.9	17.3	87.6	61.3	108.6	103.1	80.0
Interest Expense	\$MN	15	15	14	12.0	10.6	9.2	7.8	6.9
EBT	\$MN	19.8	37.9	3.3	75.6	50.7	99.4	95.3	73.1
Current Taxes	\$MN	3	8	0	24.7	16.0	33.0	31.6	23.8
Deferred Income Taxes	\$MN	2.7	6.2	1.1	1.75	1.75	1.75	1.75	1.75
Total Income Taxes	\$MN	5.7	14.2	1.1	26.4	17.7	34.8	33.3	25.6
Net Income to Common	\$MN	14.1	23.7	2.2	49.1	33.0	64.6	61.9	47.5
EBITDA Margin	\$MN	23.5%	28.9%	16.2%	36.7%	29.7%	39.6%	37.8%	32.7%
Dupont Analysis									
ROE	%	5.9%	9.2%	0.9%	16.5%	10.2%	17.2%	14.6%	10.3%
Net Profit Margin	%	6.6%	10.0%	1.1%	17.4%	12.5%	20.3%	19.3%	15.7%
Asset Turnover	Multiples	0.42x	0.46x	0.42x	0.56x	0.51x	0.59x	0.56x	0.48x
Equity Multiplier	Multiples	2.14x	1.99x	1.89x	1.70x	1.58x	1.44x	1.35x	1.37x

Henderson Manufacturing Model

BS Check: OK

Scenerio Best case

Constant Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Cashflow Statement

Operating Activities

Net Income	\$MN	14.1	23.7	2.2	49.1	33.0	64.6	61.9	47.5
Depreciation	\$MN	15.4	15.5	15.8	16.4	17.0	17.6	18.2	18.8
Deferred Income Taxes	\$MN	2.7	6.2	1.1	1.8	1.8	1.8	1.8	1.8
Changes in Working Capital	\$MN	0	0	0	-10.4	1.3	-8.2	-1.3	1.5
Operating Cash Flow	\$MN	32.2	45.4	19.1	56.9	53.0	75.8	80.5	69.5

CAPEX	\$MN	-14.1	-15	-15.5	-16.0	-17.0	-17.3	-17.5	-18.0
Other	\$MN	-5	4	3	0.0	0.0	0.0	0.0	0.0
Investing Cash Flow	\$MN	-19.1	-11	-12.5	-16.0	-17.0	-17.3	-17.5	-18.0

Revolver Issuance / (Repayment)	\$MN	0	0	0	0.0	1.4	-1.4	5.2	44.6
Total Term Debt Issuance / (Repayment)	\$MN	-25	-25	-25	-25.0	-25.0	-25.0	-25.0	-25.0
Common Shares Issuance/ (Buy-Back)	\$MN	0	0	0	0.0	0.0	0.0	0.0	0.0
Common Dividends	\$MN	-2.8	-4.7	-2.4	-9.8	-6.6	-12.9	-12.4	-9.5
Financing Cash Flow	\$MN	-27.8	-29.7	-27.4	-34.8	-30.2	-39.3	-32.2	10.1

Change in Cash Position	\$MN	-14.7	4.7	-20.8	6.1	5.8	19.2	30.8	61.6
Beginning Cash	\$MN	31.1	16.4	21.1	0.3	6.4	12.2	31.4	62.2
Ending Cash	\$MN	16.4	21.1	0.3	6.4	12.2	31.4	62.2	123.8

Henderson Manufacturing Model

BS Check: OK

Scenerio Best case

	Constant	Unit	Total	Actual 2014A	Actual 2015A	Actual 2016A	Forecast 2017F	Forecast 2018F	Forecast 2019F	Forecast 2020F	Forecast 2021F
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Balance Sheet

ASSETS

Cash and Equivalents	\$MN	16.4	21.1	0.3	6.4	12.2	31.4	62.2	123.8
Accounts Receivable	\$MN	27	27.8	28.3	36.1	33.6	40.6	40.8	38.6
Inventory	\$MN	36.5	36.1	35.1	38.4	39.8	41.3	42.7	43.7
Prepaid Expenses	\$MN	14.6	14.4	14.9	15.6	16.2	16.8	17.4	17.8
Other	\$MN	1.4	1.8	1.2	1.6	1.6	1.7	1.7	1.8
Total Current Assets	\$MN	95.9	101.2	79.8	98.1	103.5	131.8	164.9	225.6
Net PP&E	\$MN	398.5	398	397.7	397.3	397.3	397.0	396.3	395.5
Other	\$MN	19	15	12	12.0	12.0	12.0	12.0	12.0
Total Long Term Assets	\$MN	417.5	413	409.7	409.3	409.3	409.0	408.3	407.5
Total Assets	\$MN	513.4	514.2	489.5	507.3	512.7	540.8	573.2	633.1

LIABILITIES AND EQUITY

Bank Debt - Revolver	\$MN	0	0	0	0.0	1.4	0.0	5.2	49.7
Accounts Payable	\$MN	18.3	18.7	18.2	19.7	20.4	21.2	21.9	22.4
Other	\$MN	4.7	4.9	4.8	5.1	5.3	5.5	5.7	5.8
Total Current Liabilities	\$MN	23	23.6	23	24.8	27.1	26.7	32.8	78.0
Deferred Income Taxes	\$MN	0.7	6.9	8	9.8	11.5	13.3	15.0	16.8
Senior Secured Term Debt	\$MN	250	225	200	175.0	150.0	125.0	100.0	75.0
Total Long Term Liabilities	\$MN	250.7	231.9	208	184.8	161.5	138.3	115.0	91.8
Total Liabilities	\$MN	273.7	255.5	231	209.5	188.6	164.9	147.8	169.7
Common Shares	\$MN	120	120	120	120.0	120.0	120.0	120.0	120.0
Retained Earnings	\$MN	119.7	138.7	138.5	177.8	204.2	255.9	305.4	343.4
Shareholder's Equity	\$MN	239.7	258.7	258.5	297.8	324.2	375.9	425.4	463.4
Total Liabilities and Equity	\$MN	513.4	514.2	489.5	507.3	512.7	540.8	573.2	633.1

Henderson Manufacturing
Model

BS Check: OK		Scenerio Best case								
Actual	Actual	Actual	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast	Forecast
2014A	2015A	2016A	2017F	2018F	2019F	2020F	2021F			

Constant Unit Total